**IN THE NATIONAL COMPANY LAW TRIBUNAL**

**BENGALURU BENCH**

**C.P (CAA) No. 9/BB/2018**

U/S 230 to 232 of the Companies Act, 2013

**Order Delivered on: 26th April, 2018**

**IN THE MATTER OF SCHEME OF AMALGAMATION**

**BETWEEN**

**CHILTERN INTERNATIONAL PRIVATE LIMITED**

**AND**

**CHILTERN CLINICAL RESEARCH INDIA PRIVATE LIMITED**

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

**Chiltern Clinical Research India Private Limited**
Prestige Tower, 99/100, 7th Floor,
Residency Road, Bangalore -560 025 **-Petitioner/Transferee Company**

Parties Present : 1) Mr. Upendra Shukla
Advocate for the Practicing Company Secretary

2) Mrs. Sinchana M.R, Advocate
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 15.2.2018, 28.3.2018, 11.4.2018, 26.4.2018

**ORDER**

The Company Petition was filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Chiltern International Private Limited (Transferor Company) being

merged with Chiltern Clinical Research India Private Limited (Petitioner/Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner/ Transferee Company.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Company seek an order for sanctioning the Scheme of Amalgamation of Chiltern International Private Limited (Transferor Company) with Chiltern Clinical Research India Private Limited (Petitioner/Transferee Company).The Scheme of Amalgamation is shown as **Annexure -D**.

The Petitioner/Transferee Company was incorporated on 24th September, 2002 under the name and style "Omnicare Clinical Research India Private Limited'. Subsequently on 3rd April, 2012 the name of the company was changed to 'Theorem Clinical Research India Private Limited'. Again on 20th January, 2016 the name of the company was changed to Chiltern Clinical Research India Private Limited bearing **CIN No.U73100KA2002PTC031038.** The Registered office at Prestige Tower, 99/100, 7th Floor, Residency Road, Bengaluru-560025 as stated in the petition.

The Petitioner/Transferee Company's Objects as set out in its Memorandum of Association is "carry on all or any of the business of carrying on clinical research including but not limited to the identification, evaluation and selection of potential clinical investigators, consultancy and conduct of clinical research, investigations, experimental work or development programmes for pharmaceutical trials, development of protocols, case record forms, standard operating procedures and documents for the conduct of clinical research trials, analysis of data from clinical trials and preparation of reports, the initiation and monitoring of any of these activities."

The Copy of the Memorandum & Articles of Association of the Transferee Company is shown in **Annexure-A.**

Authorized share capital of the Petitioner /Transferee Company as stated in the petition is Rs.50,00,000/- divided in to 5,00,000 equity shares of Rs. 10/- each and issued subscribed and paid up share capital of Rs. 1,00,000/- divided in to 10,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner/ Transferee company as on 31st March, 2017 and is shown as **Annexure-1 to the memo dated 9th January, 2018.**

The Board of Directors of the Petitioner/Transferee Company have approved and adopted the Scheme of Amalgamation at its meeting held on 16th January, 2017. The copies of Board Resolution are shown as Annexure-A to the affidavit dated 19th March, 2018.

That the Petitioner/ Transferee Company has filed Company Application No.(CAA) 59/BB/2017 before this Tribunal for dispensation of the meetings of Shareholders and Creditors of the Petitioner Company. This Tribunal vide separate orders dated 14th November, 2017 dispensed with convening of meeting of Shareholders and Creditors of the Petitioner Company. Copy of the order passed by this Tribunal in CA(CAA) No.59/BB/17 is shown as **Annexure-C**.

This Tribunal vide order dated 15th February, 2018 directed the Petitioner Company to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies and Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Vijaya Karnataka**' a Kannada daily Newspaper and stating the next date of hearing was on 28th March, 2018.

In pursuant to the same the Counsel for the Petitioner Company has filed an affidavit **dated 19th March, 2018** of the Director of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and 'Vijaya Karnataka' a Kannada daily Newspaper.

The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 27th March, 2018 making some observations:

1. That this office has been communicated by Regional Director, Ministry of Corporate Affairs, South East Region, Hyderabad, vide his Ref:F No 3/Karnataka/ Amal/ 863/ RD/(SER)/2017 dated 26.3.2018 stating therein that he being the competent authority on behalf of Central Government has examined the scheme with reference to the material papers made available to him, and report of ROC, Karnataka vide letter No.ROCB/Legal/C.P.No.59/BB/2018 dated 2.3.2018 and the Petitioner company's letter dated 20.3.2018 and it is observed that:

a. The Transferor Company, M/s. Chiltern International Private Limited is registered in the State of Maharashtra and hence the scheme is subject to the orders of Hon'ble NCLT, Mumbai.
b. The Appointed Date proposed in the scheme is 1.4.2016.
c. The Transferee Company has filed Form GNL-1 vide SRN 680460983 dated 23.3.2018. Clause 9 of the scheme provides that the Accounting Treatment which shall be in accordance with AS-14 "Pooling of Interest' Method. Hence, the observation of ROC at care No.30(2) & (3) may not need any further consideration.
d. In Clause 14 of the scheme, the petitioner transferee company has sought complete waiver of the fee and stamp duty payable on account of consolidation of the authorized share capital of the transferor and transferee company which is not acceptable in view of the provisions of section 232(3)(i) of the Companies Act, 2013. The Transferee Company has to pay the differential fee and stamp duty on the increase of authorized capital after setting off the fee if any paid by the transferor company.
e. Clause 19 of the scheme provides that the long stop date is 30.9.2017 for carrying out the scheme, which may be noted by the Hon'ble NCLT.

The PCS for the Petitioner Company has filed reply dated 2nd April, 2018 in furnishing response to the same, which are as follows:

1. For the 1st Observation: The Hon'ble National Company Law Tribunal, Mumbai ahs approved the Scheme vide order passed on 5th January, 2018. An application for obtaining a certified copy of the order of the said Hon'ble Tribuanl is submitted on 15th February, 2018. A Copy of the said Hcn'ble Tribunal is submitted on 15th February, 2018. A copy of the said Application is annexed as Exhibit-A.
2. For the 2nd Observation: The Petitioner Companies submit that the appointed date as stated in the Scheme and the Petitioner Company has nothing to submit.
3. For the 3rd Observation: The Petitioner Company submitted that with regard to the observation made by the Registrar of Companies, Karnataka the Petitioner Company has nothing to submit further.

4. For the 4th Observation: It is submitted that it shall comply with the provisions of section 232(3)(i) of the Companies Act, 2013.
5. For the 5th Observation: It is submitted that none of the Transferor company and Transferee Company has opted to terminate this scheme and hence, the scheme is absolute. The same is further evidenced by the fact that the Hon'ble National Company Law Tribunal (NCLT), Mumbai, has approved the Schem vide its order passed on 5th January, 2018. An application for obtaining a certified copy of the order of the said Hon'ble Tribunal is submitted on 15th February, 2018. A copy of the said Application is annexed as **Exhibit A.**

The Counsel for the Petitioner/Transferor Company has filed copy of Accounting Treatment Certificate **dated 27th November, 2017** of the Auditor stating that "According to the examinations carried out by us and explanations furnished to us by the company, its officers and agents, we are of the opinion that the accounting treatment proposed in the aforesaid scheme or arrangement is in conformity with the accounting standards prescribed under section 133 of the Companies Act,2013. The Auditors Certificate on Accounting Treatment is shown as Annexure-1 to the memo dated 8th February, 2018.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

**THIS TRIBUNAL DO FURTHER ORDER**

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the

transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The order of this Tribunal shall come into effect, subject to passing of the order in case of Transferor Company, M/s.Chiltern International Private Limited (Registered in Mumbai) by National Company Law Tribunal, Mumbai Bench.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016 and is subject to the compliance of payment of stamp duty & fee by the transferee company as per due directions of Inspector General of Registration and Stamps, Government of Karnataka.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

26/4/2018

**ASHOK KUMAR MISHRA**
**MEMBER, TECHNICAL**

**RAJESWARA RAO VITTANALA**
**MEMBER, JUDICIAL**

Sirisha